Practical Incentive-Compatible Drafts: Carry-Over Lottery Allocation

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Open-source repository: https://github.com/kvr06-ai/cola-sloan-ssac27

1. Introduction

On February 7, 2026, in a National Basketball Association (NBA) game, the Utah Jazz led the Orlando Magic 94-87 going into the fourth and final quarter. The Jazz then kept two of their best players, Lauri Markkanen and Jaren Jackson Jr., out of the game for the whole quarter. Orlando outscored them 33-23 and won 120-117 [1]. Five days later, the NBA fined the Jazz $500,000 over that game and one other [2]. The Jazz had company. The Ringer, a sports website, counted eight of the league's thirty teams trying to finish with the worst records that month [3]. Losing on purpose in this way is called tanking.

Those teams wanted a better place in the draft, the yearly event in which NBA teams take turns choosing new players. Each turn is called a pick, and earlier picks give teams a better choice. In 2026, the available players were led by AJ Dybantsa and Darryn Peterson [3]. Sixteen of the thirty teams reach the playoffs, the tournament that follows the regular season and decides the champion. The fourteen teams that miss the playoffs pick first in the draft, and a lottery, which is a random drawing, decides which of them get the earliest picks. Under the lottery the NBA used from 2019 to 2026, the three teams with the worst win-loss records each had a 14% chance at the first pick. The team with the fourteenth-worst record had a 0.5% chance. The drawing decided only the first four picks. The rest went in reverse order of record, which means the worst remaining team picked next [4]. A worse record therefore meant better odds in the drawing and an earlier pick. Taylor and Trogdon [5] compared three NBA seasons played under different draft rules and found that teams lost more often when the rules rewarded losing.

The draft exists to help weak teams, and that goal creates the problem. At this conference in 2020, Banchio and Munro [6] studied lotteries that set their odds by the end-of-season standings, the final ranking of teams by record. They proved that every such lottery gives some team a reason to lose on purpose, unless it gives all the teams that miss the playoffs the same odds. A lottery of this kind therefore cannot both favor the worst teams and remove the reason to lose. We call this the impossibility result. Every change the NBA has made to its lottery has traded one of these two goals against the other. The latest, called 3-2-1, was adopted in May 2026. It gives the three teams with the worst records fewer chances in the drawing than the seven teams just above them. The teams at the bottom therefore no longer gain by losing [7]. A team in the middle of the standings still can, because of the play-in tournament. The NBA is split into two conferences, East and West. In each one, teams that finish seventh to tenth enter the play-in, a short qualifying round for the last playoff spots. Under 3-2-1, the teams that finish ninth or tenth get more chances in the drawing than those that finish seventh or eighth. A team in that range therefore improves its chances by finishing lower [7]. The new lottery also sets its odds by the current season alone, so a team that has been weak for many years gets no extra help.

The impossibility result depends on measuring weakness by a single season's standings. We introduce Carry-Over Lottery Allocation (COLA), which measures weakness by playoff results over many seasons. Each team has a draft priority, a score that carries over from one season to the next and gives the method its name. A team's priority grows each season it goes without playoff success. It falls when the team wins a playoff series, which is one round of the playoffs between two teams, or when it receives a top pick. COLA works like a waiting list. One more loss this season leaves a team's place on the list unchanged, so a draft that follows the list need not reward losing. Help still reaches weak teams, because the teams that stay weak are the ones that wait longest.

COLA is a family of rules for setting the draft order, and we call each such rule a mechanism. Full-lottery COLA holds a drawing for every pick among teams that miss the playoffs, and a team's chances are proportional to its priority. Simple COLA has no drawing. The team that has waited longest picks first. The NBA's 3-2-1 can be read as an extreme member of the family. This season's standings alone set its priority, and it carries only one thing from year to year: a limit on how often the same team can win the top picks. The same priority could also be used in an auction, a different kind of draft in which teams bid for players or for draft positions. It would decide how much each team has to bid.

We focus on Simple COLA. For each team, it counts the seasons since the team last won a playoff series or received one of the first three draft picks. The team with the highest count picks first. If two teams have the same count, the one with more wins this season picks ahead of the other. When no team can improve its pick by losing on purpose, a mechanism is called incentive compatible. We prove that Simple COLA is incentive compatible. The proof rests on a few assumptions about how teams behave, and all but one are standard. The exception, which Section 4 defends, is that a team would rather win a game than lose it to change which other teams it competes with for the top picks.

We test nine mechanisms, including the NBA's old lottery and 3-2-1, in ZenGM Basketball-GM. It is an open-source simulator, meaning its code is public, and it simulates every game and every change to each team's roster in realistic fictional leagues. Each mechanism runs on the same 30 leagues for 25 seasons. We compare the mechanisms on three measures. The first is how much they help the teams that have waited the longest. The second is how evenly playoff success spreads across teams over many seasons, which we call long-term parity. The third is the reward for losing, meaning how much a team's pick improves when it loses more games. Because every mechanism plays the same 30 leagues, we can compare any two of them league by league. For each comparison, we report a 95% confidence interval, the range that very likely contains the true difference. The leagues are fictional, so we also check whether the reward for losing and the help for long-waiting teams look the same on real NBA standings, one season at a time.

Of the nine mechanisms, Simple COLA does the most for the teams that have waited longest. Under 3-2-1, the longest any team goes without a playoff series win or one of the first three picks averages 16.3 seasons. Under Simple COLA, it averages 5.5. No team that misses the playoffs ever gains by losing more games. The average wait for a team's next playoff series win is within about a tenth of a season of the wait under 3-2-1. Simple COLA has two costs, which Sections 5 and 7 measure. First, teams wait about 0.2 seasons longer to return to the playoffs. Second, a team that has waited a long time can gain by losing a first-round playoff series. A series win would send it to the back of the list. Every number in this paper can be reproduced with the code in our public repository. The 3-2-1 lottery expires after the 2029 draft unless the league votes to keep it [7], so the league will soon choose a draft mechanism again.

2. Background

Teams have tanked more in the years when the draft paid more for losing. Until 1984, the last-place teams in both conferences flipped a coin for the first pick, and the other teams picked in reverse order of record. For the next five drafts, a lottery gave every team that missed the playoffs the same chance at the first pick, a format we call equal odds. In 1990, the NBA weighted the lottery so a worse record brought a better chance [6]. Taylor and Trogdon [5] compared three seasons, one played under each format. They looked at teams that could no longer reach the playoffs, which we call eliminated teams. They found tanking by eliminated teams under reverse order and under the weighted lottery, and none under equal odds. Price et al. [8] extended the test to every game from 1977 to 2007 and found more late-season losing in the seasons when finishing last paid the most. Bookmakers set their odds as if eliminated teams tank, although the same study finds mixed evidence of tanking in the actual scores [9]. Fornwagner [10] finds that National Hockey League teams also lose more after elimination.

Banchio and Munro's impossibility result explains why equal odds were the exception, and its proof needs only two teams [6]. Take two eliminated teams with the same record that meet in the last game of the season. If finishing lower gives a better chance at the first pick, the losing team comes out ahead, so neither team wants to win. A lottery based on the final standings can favor the worst teams only by giving a lower finish a better chance, so it always creates this problem. Equal odds avoids the problem by favoring no team. The NBA abandoned equal odds after five drafts because owners felt it did not help the worst teams [9]. The 3-2-1 lottery, which the league's owners approved 29 to 1 on May 28, 2026, starts with the 2027 draft and moves back toward equal odds [11]. It expands the lottery from fourteen teams to sixteen, with each team getting one, two, or three chances in the drawing. The drawing decides all sixteen picks, whereas the old lottery decided only the first four [7].

Most other proposals still judge teams on a single season and change which of its games count. Banchio and Munro would update the lottery odds after every game, then stop changing them when a team could first gain by losing [6]. We call that point the freeze. Applied to the 1988-89 season, their rule freezes the odds after the 332nd of 1,025 games and gives last-place Miami a 45.5% chance at the first pick. The odds then reflect how teams played before the freeze, regardless of what happened later. Charlotte finished with the second-worst record, yet it would have had a 7.5% chance. Indiana won eight more games than Charlotte and would have had an 18.5% chance, because more of Charlotte's losses came after the freeze. Kazachkov and Vardi [12] would rank the teams that miss the playoffs by where they stood at a point in the season fixed in advance. Lenten et al. [13] would give the first pick to the team eliminated earliest, and Gold [14] would give it to the team that wins the most games after it is eliminated. Banchio and Munro note that neither rule is fully incentive compatible [6].

A last group drops the lottery. The wheel, designed by Mike Zarren of the Boston Celtics, fixes each team's draft position years in advance. Over thirty years, each team picks first once, second once, and so on down to thirtieth [15], [16]. Losing buys nothing, and a weak team gets no extra help. Two other plans use an auction. Nate Silver [17] would replace the draft with player bidding. Each team would get between 25 and 100 units to bid with each year, and the worst records would get the most. A Boston Celtics proposal reported by Quinn [18] would have teams bid credits for draft positions. Unspent credits carry over to the next year, and a team loses 20 credits for each playoff series it wins.

None of the draft proposals above look beyond the current season to decide which teams need help. The Celtics' credits do, because they carry over and shrink when a team wins in the playoffs, but they work through an auction. COLA uses the same longer view to set the draft order directly, without an auction.

3. The COLA framework

3.1. How a COLA mechanism works

A COLA mechanism keeps one number for each team, called its priority, and updates that number once a year. After the playoffs, priority rises for the teams that went without success, which in most mechanisms means without a playoff series win. It falls for the teams that had success. The mechanism then sets the draft order from priority, and the teams that receive the best picks give some of their priority back. The next season starts where this one ended. A long run without success therefore builds priority up, and one good season or one high pick spends it.

Simple COLA shows this cycle in its plainest form. A team's priority is its wait, the number of seasons since it last won a playoff series or received one of the first three picks. A team whose last series win came six seasons ago, with no top-three pick since, has a wait of six. When the playoffs end, every team that won a series goes back to a wait of zero, and every other team adds one season. There are 22 such teams: the 14 that missed the playoffs and the 8 that lost in the first round. Those 22 teams pick first, in order of wait, longest first. If two teams have the same wait, the one with more wins this season picks first. The 8 teams that won a series pick after them. After the draft, the three teams that picked first go back to zero.

The mechanisms in the family differ in three choices. We call these choices dials, because a league can set each one separately. The first dial is how priority grows. In every mechanism we study, each team that qualifies gets the same fixed step, whatever its record. A team that already qualifies therefore gains nothing more by losing more games. What a team might gain by losing its way into qualifying is the subject of Section 5. The second dial is how priority falls, meaning how much a playoff run or a high pick costs. The third dial is how priority becomes lottery odds and draft positions. It covers which teams take part, a group we call the pool, and whether their order comes from a drawing, from priority alone, or from both.

3.2. Six COLA mechanisms

Simple COLA is the first of the six COLA mechanisms we test. Three others measure priority in lottery tickets, where a ticket is one chance in a drawing. A team gains 1,000 tickets in each season without a playoff series win. Each series it wins takes away a quarter of the tickets it held at the start of the playoffs. A team with 5,000 tickets that wins two series keeps 2,500, and a champion, with four series wins, keeps none. Picks cost tickets too. The first pick takes away all of a team's tickets, and the second, third, and fourth picks take away 75%, 50%, and 25%. In all three mechanisms, the pool is the 14 teams that missed the playoffs.

The three differ only in the third dial. Classic COLA draws the first four picks, giving each team a chance proportional to its tickets, and then hands out picks 5 to 14 in reverse order of record. Waitlist COLA draws the first four picks the same way and hands out picks 5 to 14 in ticket order, with the team that has the most tickets going first. Full-lottery COLA draws all 14 picks, one after another, with each team's chance proportional to its tickets.

The last two mechanisms reward both winning and waiting. Countdown COLA uses Simple COLA's wait and its pool of 22 teams. It scores each team by its wait multiplied by its wins this season, so among teams with the same wait, the one that won more scores higher. It then fills the draft order from the

last pick to the first. At each step, it draws one team from the five lowest scores not yet placed, and lower scores make a team more likely to be drawn. The teams with the best scores are placed last, so they pick first. Beckett COLA counts the seasons since a team last won a playoff series, finished in the top six of its conference, or received the first pick. Its pool is every team with a count of two or more. Each team gets entries equal to its count multiplied by its wins. The first four picks are drawn with chances proportional to entries, and the remaining pool picks in order of entries, most entries first.

3.3. Three reference lotteries

We compare the six COLA mechanisms with three lotteries that set priority from one season alone. The first is the lottery the NBA used from 2019 to 2026, which we call the old lottery. The second is an equal-odds lottery, in which all 14 picks among the teams that missed the playoffs are drawn with equal chances. The third is 3-2-1, as the NBA adopted it.

In the framework's terms, 3-2-1 rebuilds priority from this season's standings every year. Nothing grows with waiting, and success costs nothing in later years. The one thing it remembers is its limit on repeat picks. A team cannot receive the first pick two years in a row or a top-five pick three years in a row [7]. That places 3-2-1 at the edge of the family, with the first two dials set almost to zero. It also explains the two properties noted earlier. Its priority comes from one season's standings, so some teams can still gain by finishing lower. Nothing carries over, so a team that has been weak for years gets no extra help. Section 7 measures both.

Table 1 lists the dial settings of all nine mechanisms. Appendix B gives the exact rules, including how ties are broken and where the teams outside each pool pick.

Table 1: The nine mechanisms: the pool of each and its three dial settings.

Mechanism	Pool	How priority grows	How priority falls	How priority becomes picks
Old lottery	The 14 teams that missed the playoffs	Nothing carries over	Nothing carries over	First four picks drawn, with chances set by record. Picks 5 to 14 in reverse order of record.
Equal-odds lottery	The same 14 teams	Nothing carries over	Nothing carries over	All 14 picks drawn with equal chances.
3-2-1	16 teams: the 10 that miss the play-in, the 4 ninth and tenth seeds, and the 2 losers of the seven-eight games	Nothing carries over	Only the limit on repeat picks	All 16 picks drawn. The three worst records hold 2 chances each, the next seven hold 3, the ninth and tenth seeds 2, and the seven-eight losers 1.
Classic COLA	The 14 teams that missed the playoffs	1,000 tickets in each season without a playoff series win	A quarter of its tickets for each series won. Picks 1 to 4 cost 100%, 75%, 50% and 25%.	First four picks drawn by tickets. Picks 5 to 14 in reverse order of record.
Waitlist COLA	The same 14 teams	As Classic COLA	As Classic COLA	First four picks drawn by tickets. Picks 5 to 14 in order of tickets.
Full-lottery COLA	The same 14 teams	As Classic COLA	As Classic COLA	All 14 picks drawn by tickets.
Simple COLA	The 22 teams without a series win this season	One season in each season without a playoff series win	To zero after a series win or a top-three pick	No drawing. Longest wait first, and ties go to the team with more wins.
Countdown COLA	The same 22 teams	As Simple COLA	As Simple COLA	Score is wait times wins. The order is drawn from the last pick to the first, each time among the five lowest scores left.
Beckett COLA	Every team with a count of two or more	One in each season without a series win, a top-six finish in its conference or the first pick	To zero after any of those three	Entries are count times wins. First four picks drawn by entries, the rest in order of entries.

4. Incentive compatibility

Section 1 called a mechanism incentive compatible when no team can improve its pick by losing on purpose. For Simple COLA, we can state that property exactly, prove it, and say what the proof assumes.

4.1. The result

Under Simple COLA, a game can change the pool order in two ways. First, it can change which teams win a first-round playoff series. Those eight teams leave the pool and return to a wait of zero, so the list of series winners fixes which teams are in the pool and how long each has waited. The second is the tie-break, the rule that separates teams with the same wait. It uses each team's regular-season win total, and the pool order uses that total for nothing else. The theorem below addresses the second case, and Appendix A proves it.

Theorem 1. Take any season under Simple COLA and any team that finishes it in the pool. Suppose the team loses a regular-season game it could have won, and the same eight teams win a first-round series either way. Then the team's pick in that season's draft is the same as it would have been with the win, or later. It is never earlier.

Suppose two teams have each waited five seasons. One finishes with 30 wins, and the other with 28, so the 30-win team picks first of the two. Had it lost three more games, it would have finished with 27 wins and picked second. Its wait would still be five seasons, so it would still pick after every team that had waited six seasons or more and before every team that had waited four or fewer.

4.2. Why it holds

The proof has three steps. First, the loss changes no team's wait. A wait counts the seasons since a team last won a playoff series or received a top-three pick, and with the same series winners, every wait stays the same. Second, the loss changes two win totals. The team has one win fewer, and its opponent has one more. Third, the order compares wins only between teams with the same wait, and the team with more wins picks first. Every team that would have picked ahead of the losing team still does, and a team that was level with it or just behind may now pick ahead too. The number of teams picking before it can rise and cannot fall. A coin flip settles any tie on both wait and wins, so a loss can also turn a lead into a coin flip, or a coin flip into a place behind. The same steps apply one game at a time, so they cover any number of losses.

The impossibility result in Section 1 does not reach Simple COLA. That result covers lotteries that set odds based on final standings alone and give worse records odds at least as good as better ones. Simple COLA reads the standings in one place, the tie-break, and there it favors the team with more wins. Its help for weak teams comes from the wait, which rises by one season for every team in the pool, whatever its record. Simple COLA therefore does what the result rules out for a lottery based on the final standings. It favors the teams that have gone longest without success, and it gives no team in the pool an earlier pick for losing.

4.3. What the result assumes

Theorem 1 takes the list of series winners as given, and like the impossibility result, it looks at one season and its draft [6]. Three assumptions about how teams behave carry it to the claim that no team has a reason to lose a game.

1. A team prefers an earlier pick to a later one.
2. A team prefers winning a playoff series to going without one.

3. A team would rather win a game than lose it to change which other teams are in the pool.

The first two are standard. In Banchio and Munro's model, teams value the first pick and a place in the playoffs at least as much [6]. Section 5 takes up the cases in which either assumption could fail and how a league can guard against them.

The third assumption needs a defense, because a team's pick does depend on which other teams are in the pool. If a team that would have picked ahead leaves the pool, every team behind it moves up one place. One place is the most a team can gain from any one rival in this way.

Under Simple COLA, a rival leaves the pool only by winning a playoff series. Reaching the playoffs changes nothing in the draft, because a team that loses in the first round stays in the pool. A team that wanted a rival out would have to help it win a series, and the one kind of help that requires losing is a regular-season loss to that rival, which adds one win to the rival's total. In our simulated leagues, 14% of teams that won 40 to 44 games won a playoff series, and 41% of teams that won 45 to 49 games did. That is the steepest rise in the data, about five percentage points for each extra win. It overstates what one handed-over win is worth, because stronger teams both win more games and win more series. A deliberate loss therefore buys at most about one-twentieth of a draft place, and only when the rival is ahead in the order. The third assumption asks only that a team value a win more than that.

The loss also has costs inside the draft. It takes one win from the team's own total, and in the simulated leagues one more loss costs a team that missed the playoffs 0.15 places on average through the tie-break. The league also punishes such games, as the $500,000 fine in Section 1 shows [2].

4.4. A check on the simulated leagues

A proof covers the rule as written, so we also tested the rule as our simulator runs it. We first confirmed that the simulator's draft order followed the rule in all 750 seasons of the Simple COLA run: 25 seasons in each of 30 leagues. Then, in each season, we took every team that missed the playoffs except the one with the fewest wins. We lowered its win total one game at a time until it sat one win below that team, and we held everything else constant. That gave 158,325 cases. Counting each coin-flip tie as half a place, the team's place in the order was later in 98,695 cases and unchanged in the other 59,630. It was earlier in none.

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